Syllabus Edition
First teaching 2025
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Sole Traders & Partnerships

Exam code: 0450, 0986 & 0264, 0774

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Written by: Lisa Eades
Reviewed by: Steve Vorster
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Sole traders

- When an entrepreneur starts a business, they will often **start operating as a sole trader**
- This is a business with a **single owner**, who may choose to hire employees or operate alone
- They are **easy to set up** and start trading
- Information about their financial performance **does not need to be shared outside of the business**
- Over time, or if the business requires significant investment, they may change the legal structure of the business

Examples of sole trader businesses

Help me understand

Stuck on something?
Ask questions and get help with exactly what you're revising.
Got it

Evaluating sole trader businesses

Advantages	Disadvantages
• Easy and inexpensive to set up • The owner has **complete control** over the business • All profits belong to the owner • Simple tax arrangements	• **Unlimited liability** means the owner is **personally responsible for debts** the business incurs • Limited access to finance and capital • Limited skill set of the entrepreneur

Partnerships

- A partnership is a formal arrangement by **two or more entrepreneurs** to manage and operate a business and share its profits
- Partnerships are often formed to **gain more funding**, **increase capacity** or **increase skills and experience in the business**
- Common partnerships include **law firms, accountancy businesses** and **small-scale construction businesses**
- Partnerships can often be identified by suffixes such as '& Son' or 'and Partner'

Evaluating partnership businesses

Advantages	Disadvantages
• Partnerships are easy and inexpensive to set up • Partners share responsibilities, decision-making and liability for debts • More skills and knowledge are available • Increased access to finance and capital	• Partners have unlimited liability • Potential for disputes between partners • Profits are often shared equally, regardless of the contribution made by each partner • It is often difficult to transfer ownership to new owners

Unlimited liability

- **Unlimited liability means that the business owner is personally responsible for all of the business's debts and losses**
  - If the business cannot pay what it owes, the owner's **personal assets** (like savings, car, or house) can be used to settle debts

acts committed by those connected to the business

Implications of unlimited liability

- There is **no legal distinction** between the owners and the business
- As a result, these business owners may have to use their **personal assets** to pay debts or legal fees
  - For example a sole trader may need to sell their own home to pay **creditors** if their business fails
- Owners are likely to be **cautious**, avoiding big decisions that could lead to debt
- It can make it harder to **attract investors**, as the risk is higher for the owner
- **Borrowing money** from banks may also be more difficult or require personal guarantees

Examiner Tips and Tricks

Make sure you clearly explain **limited liability** when comparing sole traders and partnerships with companies. Students often forget this is the key legal difference that protects owners' personal assets

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